

Gujarat Mineral Development Corporation Ltd. (GMDCLTD)

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Call: Aug 2023

Gujarat Mineral Development Corporation Limited
(A Government of Gujarat Enterprise)
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No. GMDC/CS/ BSE/NSE/ 784 /202 3 Dt. 11.08.202 3

To,

BSE Limited
P.J. Towers, Dalal Street
Mumbai -400001
Script Code: 532181 National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (East), Mumbai -400051
Script Co de: GMDCLTD

Dear Sir,

Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call

We had vide our letter dated 7th August , 202 3 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Mee t on 9th August , 202 3 at 4.00 PM IST through audio Conference Call.

We send herewith a copy of Transcript of the said conference call which took place on 9th August, 2023 . The said transcript , along with the audio file link, is also uploaded on the Com pany's website i.e. www.gmdcltd.com .

You are requested to kindly take note of the same on your record.

Thanking you,

Yours faithfully,
For Gujarat Mineral Development Corporation Limited

Joel Evans
Company Secret ary

Encl : As above

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Gujarat Mineral Development Corporation Limited
Q1 FY'24 Earnings Conference Call
August 9th, 2023

Management :

1. Shri Roopwant Singh, IAS – Managing Director
2. Sri L. Kulshrestha – Chief General Manager and Chief Financial Officer
3. Shri H.K. Joshi – Senior General Manager (Technical)
4. Shri A.K. Makadia – Senior General Manager (Technical)
5. Shri R. K. Das – General Manager (Marketing and Sales)
6. Shri Swagat Ray – General Manager (Project Planning and Development)
7. Shri A. K. Iyer – General Manager (Accounts)
8. Shri J. N. Dave – General Manager (Power)
9. Shri P.R. Shah – General Manager (Geology)
10. Shri A.K. Sharma – Advisor (Cement)
11. Shri. Joel Evans – Company Secretary

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Gujarat Mineral Development Corporation Limited
Q1 FY'24 Earnings Conference Call
August 9th, 2023

Moderator: Good afternoon, ladies and gentlemen. I'm the moderator for this Conference. Welcome to the conference call of Gujarat Mineral Development Corporation Limited arranged by Concept Investor Relations to discuss its Q1 FY'24.

We have with us today, Shri Roopwant Singh – IAS, Managing Director ; Sri L. Kulshrestha – Chief General Manager and Chief Financial Officer; Shri H.K. Joshi – Senior General Manager (Technical); Shri A .K.Makadia – Senior General Manager (Technical); Shri R. K. Das – General Manager (Marketing and Sales); Shri Swagat Ray – General Manager (Project Planning and Development); SmtA. K.Iyer – General Manager (Accounts). Shri J . N. Dave – General Manager (Power), Shri P.R. Shah – General Manager (Geology); Shri A .K. Sharma – Advisor (Cement); and Shri. Joel Evans – Company Secretary.

At this moment, all participants are in the listen -only mode. Later we will conduct a question -and-answer session. At that time, if you have a question, please press star and one on your telephone keypad. Please note this conference is being recorded.

I would now like to hand over the floor to ShriRoopwant Singh – Chairman and Managing Director. Thank you and over to you, Sir.

Roopwant Singh : Thank you, Gaurav. We welcome all our friends through this Analyst Call. And we look towards fruitful and engaging discussion today. And this meet is after almost a gap of six months, so there are issues to share and you have questions to ask. Thank you so much. We may begin.

Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead, Sir.

Pritesh Chheda: Yes. Thank you for the opportunity, Sir. Sir, can you give some colour on the realizations in the lignite side in quarter one this year, quarter four last year, if you could end the trend here?

Roopwant Singh: So, any other question?

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Pritesh Chheda : My second question is what kind of volumes all do you expect in lignite for FY'24?

Roopwant Singh: Okay. Can I have your name please?

Pritesh Chheda : My name is Pritesh. I'm from Lucky Investment.

Roopwant Singh: I would request Mr. Das to take the question on realizations from lignite.

R. K. Das: Hi, Pritesh, this is R. K. Das , General Manager - Marketing and Sales. And answering your first question that the realization for quarter one is close to 3200. And earlier it was during last year it was around 4000. And regarding the volume, we are trying to surpass the last year's

productions. We are targeting around 8 million metric tons for this year.

Pritesh Chheda : And the realization for quarter four?

R. K. Das: The realization for quarter four was close to 4000.

Pritesh Chheda : Okay. One more question is around the volume side. If I recall, last year we were looking at 8 and was supposed to then go to about 10 million tons. I understand that last year there were rains and some mine issues for which the volume never reached it. But this year's 8 million ton number, so what happens to that 10 million ton guided or thoughtful number that you had.

R. K. Das: So, actually, we are facing certain technical issue at one of our major projects in South Gujarat. And another project at South Gujarat is on the verge of completion. So, those are the challenges. So, nevertheless, we are targeting items. We're pretty confident that we can achieve this 8 million target this year.

Moderator: Thank you. Our next question is from the line of Harsh Vasa from SBICap Securities. Please go ahead.

Harsh Vasa: Thank you for providing me the opportunity. Sir, actually I wanted to know the story regarding rare earth materials. So, when do you expect the

unlocking of that?

Roopwant Singh : Okay. Harsh, any other question?

Harsh Vasa: And secondly, Sir, you were bidding for the coal mine for Gujarat like where there is a reserve of around 1700 million tons and you're going to incur like around INR 5000 crores on the CAPEX part. So, any development on that side?

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Roopwant Singh : Okay. So, I'll answer the second question first. The coal mines are not in Gujarat, they're in Odisha. And GMDC has already secured these two blocks. And CAPEX of 5000 will be over a lifetime period of the mine. Yes, the significant amount will be going upfront. And GMDC now is in active stage of operationalizing these mines. For that studies, permissions and organizational setup is being put on fast track. And for the RE story, we will let you know as we get some clearance and as it's the regulated sector, we will let you know at the appropriate time ourselves. Please bear with us.

Moderator : Thank you. A reminder to all participants, you may press star and one to ask a question. Our next question is from the line of Dipen Shah, an individual investor. Please go ahead, Sir.

Dipen Shah : Good evening and thank you for the opportunity. I had a couple of questions. Firstly, on the overall CAPEX, which you have planned for the current year as well as the next year, I understand rare minerals CAPEX also will be incurred. So, if any ballpark figure is there then you can give us that number. And the second number is as far as the coal mine is concerned, what is the capacity of the coal mine and when do you expect revenues to start accruing to GMDC? Thank you.

Roopwant Singh : Okay. I missed your name. Can you have your name please?

Dipen Shah : Dipen Shah.

Roopwant Singh : Thank you, Dipen. So, I'll take the second question first. Operationalization, we have a four-and-a-half-year timeline in which we have to operationalize both these blocks. One is in Angul district and one is in Sundargarh district. Their accumulated annual capacity is significant, large. It is in the range of 21 million to 23 million tons depending on our downstream market tie up that we do. And as I had answered in the previous question, we are in the advanced stages of operationalizing. So, the entire effort of the top management is to crunch this 4.5 year timeline to as shortest as possible.

Dipen Shah : Okay.

Roopwant Singh : And for the lignite, I would request Mr. Swagat Ray to take that question. Could you repeat the question on lignite, please?

Dipen Shah : I just wanted to understand what's the kind of CAPEX you are likely to incur on the lignite business as well as if at all any on the rare earth minerals.

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Roopwant Singh : Okay. Rare earth we will recuse ourselves from answering, but for lignite, Mr. Swagat Ray will give you a very good answer.

Swagat Ray : For lignite operation in this financial year particularly in FY '24 we have major CAPEX planned towards land acquisition. And land acquisition will be done in existing lignite projects particularly in Bhavnagar. And for the other new projects that is Lakhpat as well as in Bharuch that is Valia's lignite project. So, we are more in the INR 800 crore rupees for this fiscal year for the new lignite project land acquisition and around INR 650 crore for the existing lignite

project in Bhavnagar.

Dipen Shah : Okay. And Sir, one last question. What should be the cash balance with the Company currently as in June?

Roopwant Singh : So, I request Mr. Kulshrestha to answer that question.

L. Kulshrestha : At present we are having 2000 cash flow, INR 2000 crore.

Dipen Shah : Okay. Thank you very much and all the very best.

Roopwant Singh : Thank you so much.

Moderator : Thank you. Ladies and gentlemen, you may press star and one to ask a question. Our next question is from the line of Nalin Shah from NVS Brokerage. Please go ahead.

Nalin Shah : Hello. At the outset let me congratulate the management for continuing to maintain the good progress on the Q1 results. My questions are couple of questions. One is that since you know the lignite prices have taken a little bit in the realization, so our profitability could be little under pressure compared to the previous year. So, how do you propose to maintain or matter that profitability? If you can throw some light on the last year, we had discussed about that you are readying for a bauxite as a major material and that some contribution in the current year, how that is going to span out if we can get some idea what are the volumes and what are the pricing and what kind of a profitability and margins we do we maintain from that, that would be ideal.

Secondly, you mentioned about that coal mines you are trying to cut down the timelines from four and half years to as early as possible. But if you could throw some idea that internally what is the target, whether it is from the financial year FY24-25 or FY25-26 or what is the

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ideal kind of a thing and on the overall performance of the Company going forward in the current year?

Roopwant Singh : Okay. So, I'll begin with answering your last question for the coal mines. It is contingent on two factors. One is a number of studies have to be done. Number two, we still have to get a lot of regulatory approvals. And these are the two proximate things and our capacity play how fast we ramp up will depend on our long-term off take agreements. So, all these things are work in progress. And we shall be able to answer this. How much the timeline would be crunched? In two to three quarters from now we expect to have a lot of tasks covered under our belt.

For lignite pricing, I would request Mr. Dasto give you a view on the pricing and Mrs. Anupama Iyer to give you an idea on the kind of profitability we'll be looking at. But the broad strategy of the organization is we are facing challenges on two sides. One is the declining price of our rival material that is imported coal and serious operational issues at the slower mines restricting our capacity. So, the first is beyond our control. So, we will keep on correcting our prices but focus on off take. And at the same time, since the market is slightly softened, we would work on our capacity to what it was one and a half to two years ago. So, I hand over the phone to Mr. Das to give you a flavor of a few numbers.

R. K. Das: Hi, Nalin. As mentioned by MD Sir, actually the imported coal prices have fallen down and it deals correctly very fast. But I believe that during the last, right from June till time, the (Inaudible) prices are fairly stable. So, in that case, it is our presumption that the prices will not fall down further. Nevertheless, we used to supply in Gujarat market subsequently with respect to the prices, landed prices of the imported coal in the PSU. So, in that case, if there will be any corrections, they're bound to take corrections. And at the same time, during last few days we have taken certain corrections. And if required then more corrections can be undertaken on an individual project basis or on overall GMDC's I mean, to say that in all projects or in individual projects.

Roopwant Singh : Anupama, can you give us flavor?

Anupama Iyer : As we told if we have to take the price correction, no doubt profit compared to last year will be end up with under pressure. But then also we'll try to make it by expanding our capacity. So, it actually depends on how the market behaves. If the price of imported coal comes down, definitely we have to take the correction and accordingly profit will be since our margin will shrink accordingly.

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Nalin Shah : Okay. But are we in a position to I mean balance it out with bauxite and maybe some other minerals which you might have in mind?

R. K.

Das: Yes, of course there is a plan to ramp up this bauxite business because during last year the production was 2.54 lakh metric ton and this year we are targeting to multiply at least two

times from this last year's production so that we are targeting to actually produce and sale

more than 5 lakh metric tons of bauxite this year. That's an aggressive plan indeed. But again, to be very realistic, actually the contribution of bauxite sale to the revenue is to the -- that is in single digit figure. So, in that case that will not significantly add to our revenues in this year.

Moderator : Our next question is from the line of Shashank Kanodia from ICICI Securities . Please go ahead.

Shashank Kanodia: Sir, first thing is realization. So, do you expect realizations for the full year to be below INR 3000 to a ton is my first question, given the fact that you alluded to this fact that they are on the downward trajectory.

Roopwant Singh : Yes. Any other question, please?

Shashank Kanodia: Yes. Secondly Sir, on the CAPEX part, you alluded to this fact that we will be spending INR 1450 crores for lignite but I think we are also due to spend something on the power plants as well as pool money in Odisha . So, in sum total, what will be the total CAPEX outlay? And thirdly Sir, the government has recently passed this Mines and Mineral Bill right, which opens results there it's mining to the private operators as well. So, in a way that kind of takes away exclusivity . So, in a way, is it something which is negative that we perceive?

Roopwant Singh : So, I'll start with the second question, the CAPEX plan. GMDC in this financial year has on April it's most ambitious and aggressive CAPEX plan ever. And this is in the range of INR 2900 crores. Out of this significant amount is going towards the ramping up capacity in our existing projects in Bhavnagar then ramping up capacity in our existing project Tarkeshwar . Then further to take care of new mines and most prominently Lakhpat and Valia, which have recently been granted to us. Further, there is a INR 300 crore CAPEX on putting the ATPS, our thermal plant, power plant back on track . And finally, there is INR 400 crore CAPEX , approximately INR 400 crore CAPEX to both the Odisha project on track. So, this is the most ambitious CAPEX plan. As far as realizations, I would again request Mr. Rajat Dast to give you a flavor. Yes, it is a very complicated question to answer and we don't know how the future unfolds, but we have certain scenarios in mind. Mr. Das, if you would like to answer this?

R. K. Das: Hi. It will be quite speculative and premature to actually predict whether this realization will go below 3000 or not. But again, the international coal prices are quite volatile and the prices

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are quite dynamic. But as I said earlier, ever since June 2023, the (Inaudible) prices are stable. And generally, the demand used to be subdued during monsoon period here and internationally. So, in that case, I believe that the demand will be pushed during subsequent quarters and there will be an upward rise in the prices and I believe that the prices of international coal that is at its rock bottom. So, in that case, in my personal capacity, I believe that the realization will remain close to 3000. But again, it will be quite difficult and speculative to answer in a very specific and objective manner.

Roopwant Singh : And I'd like to answer on the recent amendment. Well, I mean it's a more broad-based amendment covering critical minerals and it is a welcome move to take care of the new economy and issues that the nation is going to face. So, it's a wonderful development. And as far as the GMDC play is concerned, our play is in the minerals which are slightly different from the minerals being covered there . But then again, more specifics as we are in a better position to share

with you.

Shashank Kanodia: Just one thing on the lithium side, so we got in India two users, one in J&K and second in Rajasthan. So, are we actively looking at those exploiting those or this is something not there on the table for us?

Roopwant Singh : So, GMDC has adopted an open mind policy towards exploring business opportunities in adjacencies that means what it does well. So, we have moved out from lignite, moved beyond lignite to coal and we are in the metal space also. And if this resource gets available in the market and we will definitely be looking at examining each and every opportunity on the table in the market. And we have a very thorough system of internal and external checks before we take a plunge. But I can assure you we will be looking at all opportunities that come up.

Shashank Kanodia : Thank you so much and wish you all the best .

Roopwant Singh : Thank you so much.

Moderator: Thank you. Our next question is from the line of Siddhant Shah from Corporate Database . Please go ahead Sir.

Siddhant Shah : Thank you for taking my question, Sir. I had a couple of questions. One is like you mentioned that you are going to be spending INR 300 crores on the thermal power station. So, just wanted to know by when can we expect a turnaround in that, that is one. The other was sorry , I missed the opening remarks, so I don't know if you shared that. Any volume guidance for the lignite since we were targeting 10 million tons for last year, but we fell short and we were trying to make that up this year. So, any lignite volume numbers for this year. And also

like somebody previously mentioned bauxite, we also had a lot of limestone and some of the other materials. So, broadly you had given guidance previously that we are looking to have at least 50% of our revenues coming from non-lignite sources.

So, just wanted an overall view like how are we progressing on that front and any possible revenues from these other sources this year since of course lignite realizations are under pressure and we are working on coal mines. But however, these other minerals that we have, can we expect anything from there? So, these are the few questions. And just lastly, a little bit on the capital allocation policy since Gujarat government has come out with a policy mandating

30% of PAT and 5% of net worth as dividends. So, just in terms of broad capital allocation policy at the Company level since we have INR 2000 crores of cash on books and we are expecting to do a INR 2900 crore CAPEX. So, just a broad if you can just share some color on how we are planning to use our cash reserves that would be great. Thank you.

Roopwant Singh : Siddhant, I think in the previous answer I gave a very detailed answer on how we are planning to use our cash reserves. So, for everybody's benefit, I would not repeat it. But what I would like to say is again, the Government of Gujarat's dividend policy is very visionary for a Company which is on a growth path and which is exploring new revenues like us. Because we are at the moment a debt free Company and to achieve our growth, we would need to take on debt and other issues. And when we have a very mature and robust dividend policy like the one by the Government of Gujarat, we will be able to fulfill on those parameters. Your third question was on limestone. I would request Mr. Arun Sharma, who has been spearheading this initiative, he will explain to you in greater detail. And I wish you had glanced through yesterday's Business Daily. Over to Mr. Sharma.

Arun Sharma : Hi, Siddhant. See, regarding limestone, what our MD Sir has told, we have been working for the last year and we have done a lot of homework. We have identified our deposits. We have done a feasibility report. And yesterday we have launched a nationwide UI for one of the project wherein we are looking for par

tners and how we can develop this limestone deposit. I

can only tell you that the deposit has a potential and that potential would be one of the largest in the country at one particular location. So, we are very serious on that. Already we have done our homework. We are in the market and we are looking for partners and the strategic alliance how to utilize this limestone. I think within three to six months in one or two quarter we'll have clarity and then we will explore further and we'll let you know. Thank you.

Roopwant Singh : And for the question on INR 300 crore CAPEX for which we will be getting a pass through from the regulatory authorities and for which we shall be raising debt also, I would request

our General Manager (Power), Mr. Janardan Dave give you a flavor of that are underway and by what time it should be possible.

Janardan Dave : Hi, Siddhant. For the CAPEX in the power plant, we have already identified the five packages for the execution of this CAPEX. And for that our RFP are in online and one of the RFP like the BMC, we are in final stage. And in the last quarter 50% of the CAPEX will be utilized and remaining will be utilized in the first quarter of next year.

Siddhant Shah : Okay. Got it. So, the improvements will be basically visible only basically towards the end of FY'25.

Janardan Dave : In the second quarter, between '24 and '25. Siddhant the issue is most of these are proprietary items and most of these suppliers are not in India and it is a seller's market and they have a extremely large lead time. So, that is where we would have liked to compress this entire thing into a very short time but it is going to take some time. Immobilizing the spares and whatever is required there.

Siddhant Shah : Got it. Just needed one clarification, Sir. You told that the cash and the current balance is currently around INR 2000 crores. I remember in the previous call; you had mentioned that it was around INR 2500 crores. So, just wanted to know if you deployed any CAPEX this year and what would be the FY '23 CAPEX that we would have had done?

Roopwant Singh : So, Mr. Kulshrestha, kindly take this question on the cash available.

L. Kulshrestha: We have budgeted some amount for Odisha two projects Baitarani (West) and Burapahar that is around INR 350 crore. The remaining amount we are incurring for land development and civil works.

Siddhant Shah : Sir, just one request, if you could just keep the con calls after every results, that would be great, since we are having calls very abruptly or intermittently. It would be great to have calls if you could have a call after every result, it would be a good chain to follow.

Roopwant Singh : Siddhant, point validly noted. Two errors on our side. We didn't meet the last time and this time also we did not give you a lead time. Apologies for that. This will be taken care of.

Moderator: Thank you. We have a follow up question from the line of Shashank Kanodia from ICICI Securities . Please go ahead , Sir.

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Shashank Kanodia : Yes. Sir, if you can please share the volume numbers for this quarter in terms of the materials and the corresponding figures for quarter -on-quarter and YoY basis .

Roopwant Singh : Volume numbers and ?.

Shashank Kanodia : Yes, and the corresponding numbers, Sir, for Q1 FY'23 and Q 4 FY'23 .

Roopwant Singh : Okay. So, who would like – Mr. Das, why don't you take this question? Volume numbers compared to previous quarters and previous in actual year.

Rajat Das: The lignite products on during quarter one corresponding quarter of 2022 -2023 was 25 lakh metric ton and this time it is 19.2. And this time it is actually it is 88 cubic.

Roopwant Singh: Shashank , could you re phrase the question once again?

Shashank Kanodia: I wanted the volume numbers lignite sales volume for this quarter that is Q 1 FY'24 and corresponding numbers for YoY and quarter -on-quarter comparison.

Roopwant Singh: Okay. So, I would request Mr. Kulshrestha to take this call.

L. Kulshrestha : As far as the total quantity is concerned from Mata -No-Madh strategic production was 9.82 lakhs in Q1. Last year it was 10.04 lakh metric tons. And in case of Rajpardi -.

Shashank Kanodia: I will need some total for all mines as a Company level.

L. Kulshrestha : Sum total is 18.28 lakh metric ton as agreed 25 lakh metric ton in previous years in same quarter.

Shashank Kanodia: So, 19.2 lakh tons of sales volume versus 25 lakh tons last year.

L. Kulshrestha: 18.28 lakh tons as well as 25 lakh ton in previous Q1, previous year Q1.

Shashank Kanodia: So, the increase of approximately 27%.

L. Kulshrestha: Decrease.

Shashank Kanodia: Decrease. And Sir, does rains -- there was some insistent rains in Gujarat, right? And there were some coastal disruptions as well. So, did it impact us for the month of July?

Roopwant Singh: Yes, it did. And I would request Mr. H.K. Joshi to take this call. For the month of July, Mr. Joshi, how it impacted and how heavy the rains were?

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H.K. Joshi : Actually, in July we have received almost 40% more rains than last year .This year we have rain in July 30% more than last year. So, it impacted our lignite production.

Roopwant Singh: And may I add, it impacted our generation from our wind turbines also because of severe cyclonic disturbances.

Shashank Kanodia: Sir, one small request sir. You used to share these volume numbers and power generation units in your press releases. I think this time it was missing. So, if you could please recontinue that practice please.

Roopwant Singh: Okay. I don't know how this has happened but we can share it with you now.

Mr.Kulshrestha would you like to give numbers for the thermal and wind when the predominantly both of these .

L. Kulshrestha: In Q1, we have generated 140million units as against 235 million unit in last year in same quarter. And as far as zinc project our generation was 105 million unit as against 118 million unit in last year. As far as solar, we have generated 1.8 million units against 1.96 million units in Q1 of last year.

Shashank Kanodia: And sir, lastly, you have charted out this very basic CAPEX plan. So, what is the IRR or the payback period that the management keeps in mind while putting out such CAPEX symbol?

So, it's like five years, four years you wish to get back this amount in terms of profit ability, how do you look at it?

Roopwant Singh: Shashank, each project and subproject has different internal rates of return. Well, I can talk about the prominent ones. The rate of return for existing projects is extremely promising .

Some are in the range of 30 %, some are in the range of 40%. For the coal projects, they are in excess of 20% since that is a new territory for us we have taken conservative numbers. For our new project , lignite projects, those numbers again are in excess of 30%. So, we are very comfortable. A lot of thought and diligence has gone into it. And being a mining Company , CAPEX will ensure growth. Without CAPEX , we will start floundering.

Shashank Kanodia: So, the minimum threshold what I gather is to be 20% for us right before commencing of any CAPEX plans.

Roopwant Singh: So, at the moment we don't look at opportunities which are below 15% and the projects that we have made CAPEX provision, they are fairly comfortably above that.

Moderator : Thank you. Our next question is from the line of Rahil Shah from Crown Capital. Please go

ahead, Sir.

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Rahil Shah: So, you've given volume target for this year and everything. So, based on all this CAPEX and the new projects coming up, what can one expect in terms of revenue growth and especially what are your expectations for EBITDA margins for this year?

Roopwant Singh: We

ll, if we told you that then we'd be in trouble. But I would request Mrs. Anupama Iyer to give you a flavor on volumes, revenue and the kind of comfortable EBITDA we should be in the range of.

Anupama Iyer : Yes. Regarding EBITDA, we hope to maintain the EBITDA margins of around 30% in our business. And by expanding the volume we hope we'll be able to achieve a turnover of last year around 3500.

Rahil Shah: For the margins you said 30%, correct? That was like overall for the Company or just -.

Anupama Iyer : Yes.

Roopwant Singh : For lignite business.

Anupama Iyer : For all Company . As Company as a whole 30% margin, we'll be able to maintain.

Rahil Shah : Right, okay, no problem. Thank you and all the best.

Moderator : Thank you. Ladies and gentlemen, that brings us to the end of our question and answer session. I would now like to hand the conference over to the management for closing comments.

Roopwant Singh: Thank you so much. Well, we have said what we had to say about volumes, margins and our core plans and that we have received very important feedback on how we need to continuously keep on engaging with you. Yes, we will continue the process of meeting every quarter. And yes, we will not convene these conferences at short notice. Point taken. Thank you so much for your interest.

Moderator : Thank you all for being part of this conference call. If you need any further information or clarification, please email gaurav.g@conceptpr.com. Ladies and gentlemen, this concludes your conference for today. Thank you for using Chorus Call Conferencing Services . You may now disconnect your lines. Thank you and have a pleasant day.

Call: Jul 2024

Gujarat Mineral

Development Corporation Limited (A Government of Gujarat Enterprise) CIN : L14100GJ1963SGC001206 "Khanij Bhavan", 132 Ft. Ring Road, Near University Ground, Vastrapur, Ahmedabad 52 Phone: 2791 3200/2791 3501

e-mail:cs.co@gmdcltd.com,website:www.gmdcltd.com

No. GMDC/CS/NSE/BSE/2024 Dt. 02.08.2024 To, BSE Limited PJ. Towers, Dalal Street Mumbai-400001 Script Code: 532181 To, National Stock Exchange of India Ltd, Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai -400051 Script Code: GMDCLTD Dear Sir/ Madam, Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call We had vide our letter dated 29th July, 2024 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 30th July, 2024 at 4.00 PM IST through audio Conference Call. The link for Audio file of the conference call was intimated to Stock Exchanges on 31/07/2024. We send herewith a copy of Transcript of the said conference call which took place on 30th July, 2024. The said transcript, along with the audio file link, is also uploaded on the Company's website i.e. www.gmdcltd.com. You are requested to kindly take note of the same on your record. Thanking you, Yours faithfully, For Gujarat Mineral Development Corporation Limited (Joel Evans) Company Secretary Encl : As above
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Management: 1. Shri. Roopwant Singh, IAS, Managing Director 2. Shri. R.K. Dash - GM, Marketing and Sales 3. Shri. Swagat Ray - GM, Project Planning and Development and PRO 4. Shri. A.K. Sharma - GM , Power 5. Ms. A K Iyer - GM Accounts and CFO

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Moderator: Ladies and gentlemen, good day and welcome to Gujarat Mineral Development Corporation Q1 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Mamta Samat from Perfect Relations. Thank you, and over to you, ma'am. Mamta Samat: Thank you, Yusuf. Good evening, and thank you all for joining us on the Gujarat Mineral Development Corporation Limited Q1 FY '25 Earnings Conference Call. Today, we have with us the senior management represented by Shri. Roopwant Singh, Managing Director; Shri. R.K. Dash, General Manager, Marketing and Sales; Shri. Swagat Ray, General Manager, Project Planning and Development and PRO; Shri. A.K. Sharma, General Manager, Power and Smt. A K Iyer, General Manager, Accounts and CFO. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. As you are already aware that the Q1 FY '25 results are in public domain, so we will have the forum open for the interactive Q&A session. Over to you, Yusuf. Moderator: First question is from the line of Amit Dixit from ICICI Securities. Please go ahead. Amit Dixit: Yes. Very nice to interact with you, sir, after a long time. So I have a couple of questions -- sorry, 3 questions to be precise. The first one is on if you could let us know your volume target for FY '25 and FY '26, given that now Tadkeshwar is back and we see a good amount of coal production from there? The second one is essentially on -- we have been recently been declared as a preferred bidder for the coal mines in Odisha. So just wanted to understand the rationale going in Odisha and overall operations in Gujarat? And the third is essentially the progress around multi metals and Rare Earth project? Roopwant Singh: Thank you, Amit. Very quick answer. Current year, we should be in excess of 9 million. And the year thereafter, we would like to improve on that. This is deployed targets. Coal blocks are the natural extension for a company which does very well in lignite. A significant part of our senior management team is trained in coal. And these blocks were taken after evaluating the opportunities nationally and Odisha offers the best opportunity for GMDC and hence, these blocks. These blocks are in an advanced stage of development, and we plan to see groundbreaking in the next financial year -- early next financial year. Multi-metal project has been activated. We have to get a few clarifications on the regulatory side and then we would be rolling out RFPs for mine development and operations, hopefully, towards the end of this financial year. On the Rare Earth, GMDC has been nominated by Government of India as the agency to take the Rare Earth Project in Ambadongar forward. Further, GMDC has also received a letter of communication, making it the preferred allottee and to take this project forward. Thank you.

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Amit Dixit: Just very quick follow-up on my -- 2 follow-ups to be precise. The first one is on Odisha. So can -- since now we have a standard as of footprint out of Gujarat or is there a possibility that we will further look for any such coal blocks in Odisha or maybe lignite blocks elsewhere in the country? And the second one is potentially when can we expect the commencement of production from multi metal or Rare Earth? If you can give a T plus some year time line that could also suffice. Roopwant Singh: Okay. GMDC is a

lways open to all good business opportunities that open up. At the moment, there is further good news. After the 2 coal blocks in Odisha, we have backed our third coal block in Odisha by the name of Kudanali-Lubri. This is an unexplored block, which will require an year of exploration, slightly more than any year of exploration. So those actions are going to be activated. So that probably answers your first question. Multi-metal project is, again, involves a 2- to 3-year intense exercise. You should see significant progress there. Hopefully, we'll have clarity by the end of this year. On the Rare Earth side, we are looking at a 3-year horizon. Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: Yes, sir. Sir, I would like to understand GMDC from 2 perspectives. One is from what I've heard over the last many months, there seems to be some sort of an internal transformation that's going on at GMDC where you have a blueprint to make GMDC into a different sort of a company, not just on lignite and this thing. So if I view these 2 different -- the current base business of lignite, if I take it with a 3-year view, is there some sort of guidance that you can give us that we want to be on the basic business at the moment. And then the rare earths and the multi metal is more

of an optionality because as you mentioned, it's a 3-year project, and cash flows will probably start coming in from the fourth, fifth year onwards. So I'm trying to understand the current business, what it could be over the next 3, 4 years. Roopwant Singh: So our transformation is underway, and the company has prepared a very robust growth plan till the end of the decade, by 2030. So the plan is a 4x growth plan. The core of the first lever would be our existing Lignite business because that is already activated, and that will give us the earliest returns. So by the end of this decade, you should see volumes in a year about 15 million tons from lignite in Gujarat. For the metals and the critical minerals side, a lot of work has already taken place and further a lot of work will be undertaken. These are not only economically remunerative projects, they hold more strategic importance for the nation also. Venkatesh Subramanian: Right, sir. So taking off from the lignite plans, sir, I know that it goes through price volatility. So when you assume internal growth plans and in terms of volume, what's the safe number or a range that you are looking at in terms of lignite pricing, say, in a very base case scenario, what's the metric ton because you people are the experts at it. What would be the best guide that we need to assume and what's the best case scenario we can assume in terms of price, sir? Roopwant Singh: So I'll answer it in a different way. What has changed in the past 2.5 years is lignite pricing has been developed as a response to our main competitor that is imported coal. So that is a bigger metric, which controls our prices. As you would have seen 2 years ago, we had good volatility there, and we were able to capture value only because of the strategic move. In the past year

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also, we were able to capture strategic value despite 2 of our mines closing down and one contract exhausted. So that is a good achievement that we can -- that we have worked on. Prices in terms of margins, while 2 years ago, the margins were in excess of 50%. They are now in the range of 30% plus. Then again, we expect these margins to continue, but we are not in the business of forecasting, but we do take forecasting views into consideration. The goal of the company is to focus on volumes, capture more customers and market, and the value would be a strategic decision. Venkatesh Subramanian: Right, sir. So would it be safe to assume that the current financial year, FY '25, we would be able to probably do a repeat of volumes of, say, FY '23, with an operating margin of 30%. I'm not going to hold you to this, but is it a reasonable estimate? Roopwant Singh: What I would say is we are targeting excess of 9 million tons, and the current margins you can assess from the first quarter. And one good news, this year, the company is pursuing 2 gold strategies. One of them is called Mission 18.0, and the second is Mission 2000. Mission 18.0 aims at targeting 18 lakh tons of sales of lignite in the monsoon quarter. This was -- this stood at barely 6 lakh last year. So this is an exceptional value unlock because in the monsoons, if we are able to sell something that is additional accrual to us. And Mission 2000 is to, again, take the number of our customers, active customers in excess of 2,000. Venkatesh Subramanian: Okay. So the monsoon quarter is actually the current quarter that you're talking about, sir? Roopwant Singh: Yes. And there is good traction and good movement by everybody there. Venkatesh Subramanian: Fantastic, sir. One more question, and I'll join the queue, sir. We are talking about lignite and then Rare Earths and multi-metals completed. Coal, when will you start giving us revenue, sir? Where do you see it coming in? Roopwant Singh: Overall, our larger mine, Baitarani-West, we are targeting a very aggressive groundbreaking in Q1 of '26. That mine has shipping ratio of only 1.5. So production would commence very quickly thereafter. Please wish us luck so that we're able to achieve these ambitious time lines. The second block will require some more work, so that will follow 1 or 2 quarters thereafter. Venkatesh Subramanian: Got it, sir. Got it, sir. So what's the capex... Roopwant Singh: Again, wish us luck on these aggressive time lines... Venkatesh Subramanian: Sorry, sir, I didn't get you... Roopwant Singh: Again, wish us luck on these aggressive time lines. Venkatesh Subramanian: Sir, our prayers are with you. Absolutely. What kind of capex are we planning for this year, sir? FY '25 and FY '26? Roopwant Singh: Capex plans are very ambitious. In excess of INR3,000 crores current year and for the coming 2 years also.

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Moderator: Next question is from the line of Shashank Jani who is an individual investor. Please go ahead. Shashank Jani: As we know that we are undertaking diversification under Project Shikhar and our major revenue comes from lignite. So what is the target that we are setting that the revenue will come from non-lignite sources? Roopwant Singh: Okay. I'll take all the questions first, and then I'll answer. Any other -- Shashank, any other questions you have, I'll take... Shashank Jani: No, sir. This is the only question that I have. Roopwant Singh: Okay. Okay. So this is a very big question. Project Shikhar is ambitious but very doable and very tangible. By the end of this decade, you should see our revenues being quadrupled. Of these revenues, a major share would come from, again, our existing business, lignite and coal, which you know very well. And the remaining would come from these new age critical minerals. In terms of realizations, they should more than triple by the end of this decade and their share of each of these 3 buckets, lignite, coal and critical minerals should be equal. So those are the ambitious plans laid out very simplified. Moderator: Next question is from the line of Shreyansh Jethwani from SG Securities. Please go ahead. Shreyansh Jethwani: I had a couple of questions. So the first one is when you bid on these coal blocks. So what kind of financial return metrics are we looking at? And is there any target that we have in terms of like minimum return on capital as such or any other metric that you look at while bidding? Just trying to understand on that front. And so my second question is since -- like I just wanted actually clarification, you

said 3,000 crores, would that be every year for the next 3 years? Or is it spread across 3 years? And from what the balance sheet -- is we would have to take on certain amount of debt or raise equity. So how are you looking to raise that? Do you have like certain financing options that you already are looking at? So just those 2 questions. Roopwant Singh: Okay. For the coal blocks, of course, we would like to capture as much value as we can. But under the board mandate, we will target a return of 15% and IRR, internal rate of return, of 15%. And in any contingency, we will never go below 12%. So that is the business model that we are working on. This capex for INR3,000 crores is over the next -- is INR3,000 crores -- INR3,030 crores this year. Next year, it would go to INR3,424 crores thereafter, again, INR3,000 crores and thereafter, again, INR3,000 crores. So till 2030, you should see a significant capex infusion. While we are doing this, there would be internal accrual of the earnings that we will be doing from our existing projects and early activation of coal projects. But in no case does our debt equity ratio

rise above 1%. So these are solid plans backed by serious numbers. Moderator: Next question is from the line of Saloni Shah from Ajmera Associate. Please go ahead. Saloni Shah: My question is, what is the current power generation capacity of Akrimota Thermal Power Station and post the PPA amendment, what changes can be expected? Roopwant Singh: Okay. Any other questions?

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Saloni Shah: No. Roopwant Singh: Okay. So ATPS, the Akrimota Thermal Plant has a generation capacity of 250 megawatts as you are aware. At the moment, the plant is not working. But by December, the overhaul should be completed. And that is the time when the advantage from revised PPA norms would kick in. So that we are able to capture these -- the advantage of these revised PPA norms, we have gone in for a comprehensive operation and maintenance philosophy, which is to be outsourced. And we have onboarded industry leader, a tier one industry leader, to take up these O&M operations for us. Hopefully, we should be able to capture some value in the last quarter of this year. But in the next year, this bleeding asset should turn out to be an income-generating asset for the corporation. Moderator: We have our next follow-up question from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: 2 questions. Just going back to the capex, assuming that we will do a INR3,000 crores capex this year or rather not assuming, as per plan. We will -- if things go well, sir, we should probably make a net profit -- I mean, I'm assuming the number again, INR800 crores to INR1,000 crores on a positive side. Then how do we have some cash reserves, I suppose, sir. How do we make this capex, sir, somewhere, if it's a debt to equity, it's going to be one is to one, how will it work it out? Roopwant Singh: Like I said, we have aggressive capex plans spread over the next 6 years, including the current one. In all scenarios that we have worked out, our debt equity ratio does not exceed one which I just said. Venkatesh Subramanian: Okay. So we just have to presume that we will have to -- we'll have a scope to increase profitability to that level approximately, yes. Roopwant Singh: I would not say anything there. But we would make a decent generous sum -- amounts of money during this period also. Venkatesh Subramanian: Okay, sir. And what are the current cash results that we have, sir, as on 30th June? Roopwant Singh: They would be slightly short of INR2,000 crores, but the exact number doesn't come to my mind. Venkatesh Subramanian: Okay, sir. Quick one. This power capacity, we have this 250 megawatts and this is going to be overhauled in December. How -- what is it that we can expect out of this

, how does it come in handy for us over the next 2 years? What -- does it produce cash flows for us? Roopwant Singh: Venkatesh, this plant is afflicted by a cyclical problem. Low -- poor PPA, which discouraged investment and which led to poor performance. So this entire cycle has been broken by the active support of the government of Gujarat, where the PPA has been revised, a significant capex has been allowed. And the company has onboarded best-in-class contractors to undertake the capex. And finally, a tier one contractor to steer this project towards profitability. So that is the plan. And in next financial year, you should -- and you should see a significant turnaround in the entire

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metric of this plant. The entire logic of pursuing with this plant is this plant has a plant base and a PPA life of 1.5 decades left. So GMDC will continue to capture positive value out of this, which it has not been able to do in the past decade and a half. Venkatesh Subramanian: Correct. Okay. Sir, and then in the initial -- for the first question, you answered that for critical minerals and rare earths, GMDC has qualified as one of the top 2 or 3 agencies to carry out this work. What does this exactly mean, sir? How many of -- how many -- what is the number of people in the club. So for example, I think Coal India was talking about it, of course, GMDC is here, NMDC is there. Do we -- are we part of a club of, say, 5 or 6 agencies that have been selected by the government? And is there anything exclusive to us, say, any particular geographical areas, whether it is J&K or Rajasthan or something? Roopwant Singh: I'm sorry. I think there must have been some misunderstanding. This project is being pursued by GMDC on its own. And to kickstart this project, critical minerals that is rare earth, we are going to go alone. And while we are -- we keep our ears and eyes open to other opportunities, which could make this project more attractive. As for the other strategic mineral that is concerned to the copper assets that GMDC already owns, and the challenge is only in operationalizing it since it is an underground asset. So there is some complexity, hence the delay. Venkatesh Subramanian: Okay. We will get to know more about that in the next con call, sir, on the copper assets monetization? Roopwant Singh: Yes, hopefully, so. Yes, there should be a movement in the coming quarters. Venkatesh Subramanian: Okay. Sir, and GMDC, in the balance sheet, so I'm looking at a few cross holdings that we have in other Gujarat PSUs, since we have a need for funding over the next decade, and we have some ambitious plans. Would you look at divesting some of these assets across holdings. Roopwant Singh: We would be open to all ideas. Moderator: Next question is from the line of Rishikesh Oza from ROBO Capital. Please go ahead. Rishikesh Oza: So my question is with respect to the capex. The INR 3,000 crore capex that we are going to do this year is majorly towards lignite? Roopwant Singh: Yes, please. Rishikesh Oza: Okay. And... Roopwant Singh: Other questions, please? Rishikesh Oza: No, it was related to that only, that on FY '26 and '27 also, you are talking about INR3,000-plus crores of capex. So how that would be bifurcated into different projects? Roopwant Singh: So the lion's share of this capex would be consumed by new lignite projects while we would continue to serve the needs of our existing lignite projects and a significant amount would go towards operationalizing the Odisha coal blocks, and finally, into our critical minerals for it.

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Rishikesh Oza: How much capex are we going to do for the coal blocks? Roopwant Singh: In excess of INR1,700 crores spread over some time. Venkatesh Subramanian: Hello, Yusuf? Moderator: Yes.

Venkatesh Subramanian: Can I ask a question, sir? Moderator: Who is this, please? Venkatesh Subramanian: This is Venkatesh of Logictree. Moderator: Yes, Venkatesh. Venkatesh Subramanian: Yes. So one last question. So I think we're talking about the underground copper blocks and which we are trying to extract out of. Can you give us some sense of what kind of deposits or volumes do we have, sir, in terms of copper? Roopwant Singh: Okay. So this would classify as a multi

metal-based deposit, which has copper, lead, zinc. The principal value driver is copper. That would be in the range of 1.5% to 1.75%. But the total metal content, that is the sum of all these 3, is in excess of 10%, which makes it one of the best assets in the world. And the mine has an estimated mine life of anywhere between 15 to 22 years. So that is the asset for you.

Venkatesh Subramanian: Okay. And extractable volumes, sir, approximately? Roopwant Singh: Extractable volumes.

Actually, as we extract more, we would need to explore more, there is an optimistic hypothesis that these reserves would rise significantly as we operationalize the mine. Venkatesh Subramanian: Okay, sir. Okay. I think I'll take this separately with you.

So can I reach out to you over an email, sir, for a more in-depth... Roopwant Singh: So in terms of margin, this project has a very comfortable margin of -- in excess of 40%, 41%. So returns are very good here. The challenge is in operationalizing this underground mine. Venkatesh Subramanian: Do you have any time line on this, sir, internally that you want to operationalize, say, some particular year or date or so? Roopwant Singh: We would be in a -- some studies are going on, we would be able to say this with more certainty by the end of this financial year.

Moderator: Next question is from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: So my question is that GMDC would approve INR3,041 crores capex plan for FY '25. Can you throw some light on the capex utilization so far?

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Roopwant Singh: Capex utilization for the current financial year? Kirti: Yes, sir. For FY '25. Roopwant Singh: Okay. Ma'am, this is -- most of this capex is towards land acquisition. So when it will happen, it will happen in very short bullets. At the moment, the only traction that we have on capex is for our existing Bhavnagar asset. It is going to be a great value and volume driver for us in the current financial year. And hopefully, for the next years while we undertake these ambitious plans.

Kirti: Okay. And also considering the new coal mines awarded in Odisha, our efforts of increasing the thermal power generation, will there be any further capex requirement in the near term? Roopwant Singh: I didn't follow that question, Kirti, for Odisha? Kirti: Yes, yes. So considering new coal mines awarded in Odisha, in the efforts of increasing the thermal power generation to which -- wanted to know in the earlier future, is there any capex required for that in the near term? Roopwant Singh: As it has already come out in our disclosures, we have signed a memorandum of understanding with our peer company, which is the state power company, GUVNL. Jointly, we will develop -- we have resources enough to develop 4,400 megawatts of thermal power. So that will be developed in partnership with GUVNL where we would be taking care of operationalizing the coal blocks, and they will be taking care of putting the thermal assets. So these are significant plans. And for activating these blocks, like I said, we would be spending initially a capex of INR1,700 crores.

Moderator: Next question is from the line of Shashank Jani, an individual investor. Please go ahead. Shashank Jani: I actually wanted to ask our finance minister in the budget talked about critical minerals, the government is planning to have a critical mineral mining outside India and all the

other things inside India. So apart from the block that we currently have, do we see our company has been a beneficiary of the same? Roopwant Singh: Okay, Shashank, this will have -- although this will definitely have a positive sentiment on the moves that we are making on the critical mineral side. And our journey is very well chartered and very well thought out of plans have been made. The point is these strategies take some time to unfold and that is underway. Moderator: Next question is from the line of Varun from Fernandes corporation limited. Please go ahead. Varun: Sir, I wanted to ask you if you can kindly enlighten about your diversification strategy. As we understand, currently, the focus for GMDC is lignite. So can you throw some light on the critical minerals like copper, lead and bauxite. Currently, how much are our existing capacities, the current contribution to revenue? And what are the projections in production and revenue for FY '25 and FY '26?

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Roopwant Singh: Okay. Very heavy question, I'll just answer it very briefly. So while we are growing, we would need to diversify. So GMDC is going to keep on focusing on its core which is lignite and which contributes in excess of 90% of our revenues currently. So for the coming 2 to 3 years, you should see something like that continuing to happen. While GMDC knows lignite very well, so that gives us a lot of confidence to operationalize these coal blocks. To contextualize these coal blocks, how big they are, you know our volumes. We are currently chasing 9 million tons of lignite in Gujarat. The cumulative capacity of all 3 coal blocks in Orissa is 26 million tons per annum. So that is the point of quantum lease that we would be taken. And all of the coal will go towards securing energy security of Gujarat. Revenues and profitability, they -- for the coming 2 years, they would stay in the range -- they would be -- they will be very good, but they would be at a reasonable range. Thereafter, as this capex starts kicking in, you should see a gradual spurt. And by 2030, I have already shared, we have 4x revenue growth plans.

Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: I'm almost done with all the questions. Just a request, sir, on the website. If you can upload the latest investor presentation, that will be very useful for us, sir, for internal records. Roopwant Singh: Thank you for the advice. Moderator: We have our next follow-up question from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: Yes. Sir, you mentioned about Mission 18.0 and Mission 2000. Can you elaborate how GMDC intends to achieve this ambitious growth? Roopwant Singh: You're talking about Mission 18.0 and Mission 2000, current year? Kirti: Yes, sir. Yes, sir. Roopwant Singh: So Mission 18.0 is the target that we are chasing for Q2, the monsoon months. You should see good results there. And Mission 2000 is something that we see to complete over the year. Now that is more in terms of engagement. Our customer pool is much larger, but we want to have an even larger pool of active customers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. With that, we conclude today's conference call. On behalf of Gujarat Minerals Development Corporation, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Roopwant Singh: Thank you, Yusuf.

Call: Aug 2024

Gujarat Mineral

Development Corporation Limited (A Government of Gujarat Enterprise) CIN : L14100GJ1963SGC001206 "Khanij Bhavan", 132 Ft. Ring Road, Near University Ground, Vastrapur, Ahmedabad 52 Phone: 2791 3200/2791 3501

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No. GMDC/CS/NSE/BSE/2024 Dt. 02.08.2024 To, BSE Limited PJ. Towers, Dalal Street Mumbai-400001 Script Code: 532181 To, National Stock Exchange of India Ltd, Exchange Plaza, Bandra Kurla Complex, Bandra (East), Mumbai -400051 Script Code: GMDCLTD Dear Sir/ Madam, Subject : Transcript of Analysts/ Institutional Investors Meet through Conference call We had vide our letter dated 29th July, 2024 intimated the Stock Exchanges about the schedule of Analysts/ Institutional Investors Meet on 30th July, 2024 at 4.00 PM IST through audio Conference Call. The link for Audio file of the conference call was intimated to Stock Exchanges on 31/07/2024. We send herewith a copy of Transcript of the said conference call which took place on 30th July, 2024. The said transcript, along with the audio file link, is also uploaded on the Company's website i.e. www.gmdcltd.com. You are requested to kindly take note of the same on your record. Thanking you, Yours faithfully, For Gujarat Mineral Development Corporation Limited (Joel Evans) Company Secretary Encl : As above
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Moderator: Ladies and gentlemen, good day and welcome to Gujarat Mineral Development Corporation Q1 FY '25 Results Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Mamta Samat from Perfect Relations. Thank you, and over to you, ma'am. Mamta Samat: Thank you, Yusuf. Good evening, and thank you all for joining us on the Gujarat Mineral Development Corporation Limited Q1 FY '25 Earnings Conference Call. Today, we have with us the senior management represented by Shri. Roopwant Singh, Managing Director; Shri. R.K. Dash, General Manager, Marketing and Sales; Shri. Swagat Ray, General Manager, Project Planning and Development and PRO; Shri. A.K. Sharma, General Manager, Power and Smt. A K Iyer, General Manager, Accounts and CFO. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward-looking in nature. As you are already aware that the Q1 FY '25 results are in public domain, so we will have the forum open for the interactive Q&A session. Over to you, Yusuf. Moderator: First question is from the line of Amit Dixit from ICICI Securities. Please go ahead. Amit Dixit: Yes. Very nice to interact with you, sir, after a long time. So I have a couple of questions -- sorry, 3 questions to be precise. The first one is on if you could let us know your volume target for FY '25 and FY '26, given that now Tadkeshwar is back and we see a good amount of coal production from there? The second one is essentially on -- we have been recently been declared as a preferred bidder for the coal mines in Odisha. So just wanted to understand the rationale going in Odisha and overall operations in Gujarat? And the third is essentially the progress around multi metals and Rare Earth project? Roopwant Singh: Thank you, Amit. Very quick answer. Current year, we should be in excess of 9 million. And the year thereafter, we would like to improve on that. This is deployed targets. Coal blocks are the natural extension for a company which does very well in lignite. A significant part of our senior management team is trained in coal. And these blocks were taken after evaluating the opportunities nationally and Odisha offers the best opportunity for GMDC and hence, these blocks. These blocks are in an advanced stage of development, and we plan to see groundbreaking in the next financial year -- early next financial year. Multi-metal project has been activated. We have to get a few clarifications on the regulatory side and then we would be rolling out RFPs for mine development and operations, hopefully, towards the end of this financial year. On the Rare Earth, GMDC has been nominated by Government of India as the agency to take the Rare Earth Project in Ambadongar forward. Further, GMDC has also received a letter of communication, making it the preferred allottee and to take this project forward. Thank you.

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Amit Dixit: Just very quick follow-up on my -- 2 follow-ups to be precise. The first one is on Odisha. So can -- since now we have a standard as of footprint out of Gujarat or is there a possibility that we will further look for any such coal blocks in Odisha or maybe lignite blocks elsewhere in the country? And the second one is potentially when can we expect the commencement of production from multi metal or Rare Earth? If you can give a T plus some year time line that could also suffice. Roopwant Singh: Okay. GMDC is a

lways open to all good business opportunities that open up. At the moment, there is further good news. After the 2 coal blocks in Odisha, we have backed our third coal block in Odisha by the name of Kudanali-Lubri. This is an unexplored block, which will require an year of exploration, slightly more than any year of exploration. So those actions are going to be activated. So that probably answers your first question. Multi-metal project is, again, involves a 2- to 3-year intense exercise. You should see significant progress there. Hopefully, we'll have clarity by the end of this year. On the Rare Earth side, we are looking at a 3-year horizon. Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: Yes, sir. Sir, I would like to understand GMDC from 2 perspectives. One is from what I've heard over the last many months, there seems to be some sort of an internal transformation that's going on at GMDC where you have a blueprint to make GMDC into a different sort of a company, not just on lignite and this thing. So if I view these 2 different -- the current base business of lignite, if I take it with a 3-year view, is there some sort of guidance that you can give us that we want to be on the basic business at the moment. And then the rare earths and the multi metal is more

of an optionality because as you mentioned, it's a 3-year project, and cash flows will probably start coming in from the fourth, fifth year onwards. So I'm trying to understand the current business, what it could be over the next 3, 4 years. Roopwant Singh: So our transformation is underway, and the company has prepared a very robust growth plan till the end of the decade, by 2030. So the plan is a 4x growth plan. The core of the first lever would be our existing Lignite business because that is already activated, and that will give us the earliest returns. So by the end of this decade, you should see volumes in a year about 15 million tons from lignite in Gujarat. For the metals and the critical minerals side, a lot of work has already taken place and further a lot of work will be undertaken. These are not only economically remunerative projects, they hold more strategic importance for the nation also. Venkatesh Subramanian: Right, sir. So taking off from the lignite plans, sir, I know that it goes through price volatility. So when you assume internal growth plans and in terms of volume, what's the safe number or a range that you are looking at in terms of lignite pricing, say, in a very base case scenario, what's the metric ton because you people are the experts at it. What would be the best guide that we need to assume and what's the best case scenario we can assume in terms of price, sir? Roopwant Singh: So I'll answer it in a different way. What has changed in the past 2.5 years is lignite pricing has been developed as a response to our main competitor that is imported coal. So that is a bigger metric, which controls our prices. As you would have seen 2 years ago, we had good volatility there, and we were able to capture value only because of the strategic move. In the past year

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also, we were able to capture strategic value despite 2 of our mines closing down and one contract exhausted. So that is a good achievement that we can -- that we have worked on. Prices in terms of margins, while 2 years ago, the margins were in excess of 50%. They are now in the range of 30% plus. Then again, we expect these margins to continue, but we are not in the business of forecasting, but we do take forecasting views into consideration. The goal of the company is to focus on volumes, capture more customers and market, and the value would be a strategic decision. Venkatesh Subramanian: Right, sir. So would it be safe to assume that the current financial year, FY '25, we would be able to probably do a repeat of volumes of, say, FY '23, with an operating margin of 30%. I'm not going to hold you to this, but is it a reasonable estimate? Roopwant Singh: What I would say is we are targeting excess of 9 million tons, and the current margins you can assess from the first quarter. And one good news, this year, the company is pursuing 2 gold strategies. One of them is called Mission 18.0, and the second is Mission 2000. Mission 18.0 aims at targeting 18 lakh tons of sales of lignite in the monsoon quarter. This was -- this stood at barely 6 lakh last year. So this is an exceptional value unlock because in the monsoons, if we are able to sell something that is additional accrual to us. And Mission 2000 is to, again, take the number of our customers, active customers in excess of 2,000. Venkatesh Subramanian: Okay. So the monsoon quarter is actually the current quarter that you're talking about, sir? Roopwant Singh: Yes. And there is good traction and good movement by everybody there. Venkatesh Subramanian: Fantastic, sir. One more question, and I'll join the queue, sir. We are talking about lignite and then Rare Earths and multi-metals completed. Coal, when will you start giving us revenue, sir? Where do you see it coming in? Roopwant Singh: Overall, our larger mine, Baitarani-West, we are targeting a very aggressive groundbreaking in Q1 of '26. That mine has shipping ratio of only 1.5. So production would commence very quickly thereafter. Please wish us luck so that we're able to achieve these ambitious time lines. The second block will require some more work, so that will follow 1 or 2 quarters thereafter. Venkatesh Subramanian: Got it, sir. Got it, sir. So what's the capex... Roopwant Singh: Again, wish us luck on these aggressive time lines... Venkatesh Subramanian: Sorry, sir, I didn't get you... Roopwant Singh: Again, wish us luck on these aggressive time lines. Venkatesh Subramanian: Sir, our prayers are with you. Absolutely. What kind of capex are we planning for this year, sir? FY '25 and FY '26? Roopwant Singh: Capex plans are very ambitious. In excess of INR3,000 crores current year and for the coming 2 years also.

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Moderator: Next question is from the line of Shashank Jani who is an individual investor. Please go ahead. Shashank Jani: As we know that we are undertaking diversification under Project Shikhar and our major revenue comes from lignite. So what is the target that we are setting that the revenue will come from non-lignite sources? Roopwant Singh: Okay. I'll take all the questions first, and then I'll answer. Any other -- Shashank, any other questions you have, I'll take... Shashank Jani: No, sir. This is the only question that I have. Roopwant Singh: Okay. Okay. So this is a very big question. Project Shikhar is ambitious but very doable and very tangible. By the end of this decade, you should see our revenues being quadrupled. Of these revenues, a major share would come from, again, our existing business, lignite and coal, which you know very well. And the remaining would come from these new age critical minerals. In terms of realizations, they should more than triple by the end of this decade and their share of each of these 3 buckets, lignite, coal and critical minerals should be equal. So those are the ambitious plans laid out very simplified. Moderator: Next question is from the line of Shreyansh Jethwani from SG Securities. Please go ahead. Shreyansh Jethwani: I had a couple of questions. So the first one is when you bid on these coal blocks. So what kind of financial return metrics are we looking at? And is there any target that we have in terms of like minimum return on capital as such or any other metric that you look at while bidding? Just trying to understand on that front. And so my second question is since -- like I just wanted actually clarification, you

said 3,000 crores, would that be every year for the next 3 years? Or is it spread across 3 years? And from what the balance sheet -- is we would have to take on certain amount of debt or raise equity. So how are you looking to raise that? Do you have like certain financing options that you already are looking at? So just those 2 questions. Roopwant Singh: Okay. For the coal blocks, of course, we would like to capture as much value as we can. But under the board mandate, we will target a return of 15% and IRR, internal rate of return, of 15%. And in any contingency, we will never go below 12%. So that is the business model that we are working on. This capex for INR3,000 crores is over the next -- is INR3,000 crores -- INR3,030 crores this year. Next year, it would go to INR3,424 crores thereafter, again, INR3,000 crores and thereafter, again, INR3,000 crores. So till 2030, you should see a significant capex infusion. While we are doing this, there would be internal accrual of the earnings that we will be doing from our existing projects and early activation of coal projects. But in no case does our debt equity ratio

rise above 1%. So these are solid plans backed by serious numbers. Moderator: Next question is from the line of Saloni Shah from Ajmera Associate. Please go ahead. Saloni Shah: My question is, what is the current power generation capacity of Akrimota Thermal Power Station and post the PPA amendment, what changes can be expected? Roopwant Singh: Okay. Any other questions?

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Saloni Shah: No. Roopwant Singh: Okay. So ATPS, the Akrimota Thermal Plant has a generation capacity of 250 megawatts as you are aware. At the moment, the plant is not working. But by December, the overhaul should be completed. And that is the time when the advantage from revised PPA norms would kick in. So that we are able to capture these -- the advantage of these revised PPA norms, we have gone in for a comprehensive operation and maintenance philosophy, which is to be outsourced. And we have onboarded industry leader, a tier one industry leader, to take up these O&M operations for us. Hopefully, we should be able to capture some value in the last quarter of this year. But in the next year, this bleeding asset should turn out to be an income-generating asset for the corporation. Moderator: We have our next follow-up question from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: 2 questions. Just going back to the capex, assuming that we will do a INR3,000 crores capex this year or rather not assuming, as per plan. We will -- if things go well, sir, we should probably make a net profit -- I mean, I'm assuming the number again, INR800 crores to INR1,000 crores on a positive side. Then how do we have some cash reserves, I suppose, sir. How do we make this capex, sir, somewhere, if it's a debt to equity, it's going to be one is to one, how will it work it out? Roopwant Singh: Like I said, we have aggressive capex plans spread over the next 6 years, including the current one. In all scenarios that we have worked out, our debt equity ratio does not exceed one which I just said. Venkatesh Subramanian: Okay. So we just have to presume that we will have to -- we'll have a scope to increase profitability to that level approximately, yes. Roopwant Singh: I would not say anything there. But we would make a decent generous sum -- amounts of money during this period also. Venkatesh Subramanian: Okay, sir. And what are the current cash results that we have, sir, as on 30th June? Roopwant Singh: They would be slightly short of INR2,000 crores, but the exact number doesn't come to my mind. Venkatesh Subramanian: Okay, sir. Quick one. This power capacity, we have this 250 megawatts and this is going to be overhauled in December. How -- what is it that we can expect out of this

, how does it come in handy for us over the next 2 years? What -- does it produce cash flows for us? Roopwant Singh: Venkatesh, this plant is afflicted by a cyclical problem. Low -- poor PPA, which discouraged investment and which led to poor performance. So this entire cycle has been broken by the active support of the government of Gujarat, where the PPA has been revised, a significant capex has been allowed. And the company has onboarded best-in-class contractors to undertake the capex. And finally, a tier one contractor to steer this project towards profitability. So that is the plan. And in next financial year, you should -- and you should see a significant turnaround in the entire

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metric of this plant. The entire logic of pursuing with this plant is this plant has a plant base and a PPA life of 1.5 decades left. So GMDC will continue to capture positive value out of this, which it has not been able to do in the past decade and a half. Venkatesh Subramanian: Correct. Okay. Sir, and then in the initial -- for the first question, you answered that for critical minerals and rare earths, GMDC has qualified as one of the top 2 or 3 agencies to carry out this work. What does this exactly mean, sir? How many of -- how many -- what is the number of people in the club. So for example, I think Coal India was talking about it, of course, GMDC is here, NMDC is there. Do we -- are we part of a club of, say, 5 or 6 agencies that have been selected by the government? And is there anything exclusive to us, say, any particular geographical areas, whether it is J&K or Rajasthan or something? Roopwant Singh: I'm sorry. I think there must have been some misunderstanding. This project is being pursued by GMDC on its own. And to kickstart this project, critical minerals that is rare earth, we are going to go alone. And while we are -- we keep our ears and eyes open to other opportunities, which could make this project more attractive. As for the other strategic mineral that is concerned to the copper assets that GMDC already owns, and the challenge is only in operationalizing it since it is an underground asset. So there is some complexity, hence the delay. Venkatesh Subramanian: Okay. We will get to know more about that in the next con call, sir, on the copper assets monetization? Roopwant Singh: Yes, hopefully, so. Yes, there should be a movement in the coming quarters. Venkatesh Subramanian: Okay. Sir, and GMDC, in the balance sheet, so I'm looking at a few cross holdings that we have in other Gujarat PSUs, since we have a need for funding over the next decade, and we have some ambitious plans. Would you look at divesting some of these assets across holdings. Roopwant Singh: We would be open to all ideas. Moderator: Next question is from the line of Rishikesh Oza from ROBO Capital. Please go ahead. Rishikesh Oza: So my question is with respect to the capex. The INR 3,000 crore capex that we are going to do this year is majorly towards lignite? Roopwant Singh: Yes, please. Rishikesh Oza: Okay. And... Roopwant Singh: Other questions, please? Rishikesh Oza: No, it was related to that only, that on FY '26 and '27 also, you are talking about INR3,000-plus crores of capex. So how that would be bifurcated into different projects? Roopwant Singh: So the lion's share of this capex would be consumed by new lignite projects while we would continue to serve the needs of our existing lignite projects and a significant amount would go towards operationalizing the Odisha coal blocks, and finally, into our critical minerals for it.

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Rishikesh Oza: How much capex are we going to do for the coal blocks? Roopwant Singh: In excess of INR1,700 crores spread over some time. Venkatesh Subramanian: Hello, Yusuf? Moderator: Yes.

Venkatesh Subramanian: Can I ask a question, sir? Moderator: Who is this, please? Venkatesh Subramanian: This is Venkatesh of Logictree. Moderator: Yes, Venkatesh. Venkatesh Subramanian: Yes. So one last question. So I think we're talking about the underground copper blocks and which we are trying to extract out of. Can you give us some sense of what kind of deposits or volumes do we have, sir, in terms of copper? Roopwant Singh: Okay. So this would classify as a multi

metal-based deposit, which has copper, lead, zinc. The principal value driver is copper. That would be in the range of 1.5% to 1.75%. But the total metal content, that is the sum of all these 3, is in excess of 10%, which makes it one of the best assets in the world. And the mine has an estimated mine life of anywhere between 15 to 22 years. So that is the asset for you.

Venkatesh Subramanian: Okay. And extractable volumes, sir, approximately? Roopwant Singh: Extractable volumes.

Actually, as we extract more, we would need to explore more, there is an optimistic hypothesis that these reserves would rise significantly as we operationalize the mine. Venkatesh Subramanian: Okay, sir. Okay. I think I'll take this separately with you.

So can I reach out to you over an email, sir, for a more in-depth... Roopwant Singh: So in terms of margin, this project has a very comfortable margin of -- in excess of 40%, 41%. So returns are very good here. The challenge is in operationalizing this underground mine. Venkatesh Subramanian: Do you have any time line on this, sir, internally that you want to operationalize, say, some particular year or date or so? Roopwant Singh: We would be in a -- some studies are going on, we would be able to say this with more certainty by the end of this financial year.

Moderator: Next question is from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: So my question is that GMDC would approve INR3,041 crores capex plan for FY '25. Can you throw some light on the capex utilization so far?

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Roopwant Singh: Capex utilization for the current financial year? Kirti: Yes, sir. For FY '25. Roopwant Singh: Okay. Ma'am, this is -- most of this capex is towards land acquisition. So when it will happen, it will happen in very short bullets. At the moment, the only traction that we have on capex is for our existing Bhavnagar asset. It is going to be a great value and volume driver for us in the current financial year. And hopefully, for the next years while we undertake these ambitious plans.

Kirti: Okay. And also considering the new coal mines awarded in Odisha, our efforts of increasing the thermal power generation, will there be any further capex requirement in the near term? Roopwant Singh: I didn't follow that question, Kirti, for Odisha? Kirti: Yes, yes. So considering new coal mines awarded in Odisha, in the efforts of increasing the thermal power generation to which -- wanted to know in the earlier future, is there any capex required for that in the near term? Roopwant Singh: As it has already come out in our disclosures, we have signed a memorandum of understanding with our peer company, which is the state power company, GUVNL. Jointly, we will develop -- we have resources enough to develop 4,400 megawatts of thermal power. So that will be developed in partnership with GUVNL where we would be taking care of operationalizing the coal blocks, and they will be taking care of putting the thermal assets. So these are significant plans. And for activating these blocks, like I said, we would be spending initially a capex of INR1,700 crores.

Moderator: Next question is from the line of Shashank Jani, an individual investor. Please go ahead. Shashank Jani: I actually wanted to ask our finance minister in the budget talked about critical minerals, the government is planning to have a critical mineral mining outside India and all the

other things inside India. So apart from the block that we currently have, do we see our company has been a beneficiary of the same? Roopwant Singh: Okay, Shashank, this will have -- although this will definitely have a positive sentiment on the moves that we are making on the critical mineral side. And our journey is very well chartered and very well thought out of plans have been made. The point is these strategies take some time to unfold and that is underway. Moderator: Next question is from the line of Varun from Fernandes corporation limited. Please go ahead. Varun: Sir, I wanted to ask you if you can kindly enlighten about your diversification strategy. As we understand, currently, the focus for GMDC is lignite. So can you throw some light on the critical minerals like copper, lead and bauxite. Currently, how much are our existing capacities, the current contribution to revenue? And what are the projections in production and revenue for FY '25 and FY '26?

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Roopwant Singh: Okay. Very heavy question, I'll just answer it very briefly. So while we are growing, we would need to diversify. So GMDC is going to keep on focusing on its core which is lignite and which contributes in excess of 90% of our revenues currently. So for the coming 2 to 3 years, you should see something like that continuing to happen. While GMDC knows lignite very well, so that gives us a lot of confidence to operationalize these coal blocks. To contextualize these coal blocks, how big they are, you know our volumes. We are currently chasing 9 million tons of lignite in Gujarat. The cumulative capacity of all 3 coal blocks in Orissa is 26 million tons per annum. So that is the point of quantum lease that we would be taken. And all of the coal will go towards securing energy security of Gujarat. Revenues and profitability, they -- for the coming 2 years, they would stay in the range -- they would be -- they will be very good, but they would be at a reasonable range. Thereafter, as this capex starts kicking in, you should see a gradual spurt. And by 2030, I have already shared, we have 4x revenue growth plans.

Moderator: Next question is from the line of Venkatesh Subramanian from Logictree Consultants Private Limited. Please go ahead. Venkatesh Subramanian: I'm almost done with all the questions. Just a request, sir, on the website. If you can upload the latest investor presentation, that will be very useful for us, sir, for internal records. Roopwant Singh: Thank you for the advice. Moderator: We have our next follow-up question from the line of Kirti from Motilal Oswal. Please go ahead. Kirti: Yes. Sir, you mentioned about Mission 18.0 and Mission 2000. Can you elaborate how GMDC intends to achieve this ambitious growth? Roopwant Singh: You're talking about Mission 18.0 and Mission 2000, current year? Kirti: Yes, sir. Yes, sir. Roopwant Singh: So Mission 18.0 is the target that we are chasing for Q2, the monsoon months. You should see good results there. And Mission 2000 is something that we see to complete over the year. Now that is more in terms of engagement. Our customer pool is much larger, but we want to have an even larger pool of active customers.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. With that, we conclude today's conference call. On behalf of Gujarat Minerals Development Corporation, that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Roopwant Singh: Thank you, Yusuf.

Call: May 2025

Gujarat Mineral Development Corporation Limited (A Government of Gujarat Enterprise) CIN : L14100GJ1963SGC001206
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No. GMDC/CS/ BSE/NSE/878/ 2025 Dt. 29th May, 2025 To, National Stock Exchange of India, Exchange Plaza, C-1, Block G, Bandra Kurla Complex Bandra (East) , Mumbai – 400 051 Code : GMDCLTD To, Bombay Stock Exchange Ltd. 25th Floor, P.J. Towers Dalal Street Fort, Mumbai-400 001 Code : 532181 Subject: Submission of transcript of audio recording of Investor Call under Regulation 30 of SEBI (LODR) Regulations, 2015 Ref : Our earlier letter No. GMDC/CS/ BSE/NSE/877/ 2025 dtd. 23rd May, 2025 Dear Sir/Madam, Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we hereby submit the transcript of audio recording of the investor call/earnings call conducted by Gujarat Mineral Development Corporation Limited (GMDC) on 23rd May, 2025, post the announcement of audited annual financial results (both standalone and consolidated) for the quarter/year ended on 31st March, 2025. The same has also been made available on the Company's website at: www.gmdcltd.com You are requested to take the same on record. Thanking you, Yours faithfully, For Gujarat Mineral Development Corporation Limited, Joel Evans Company Secretary
Encl: As above

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MANAGEMENT: SHRI ROOPWANT SINGH, IAS - MANAGING DIRECTOR SMT. A. K. IYER - CHIEF FINANCIAL OFFICER
SHRI A. K. MAKADIA - SR. GENERAL MANAGER SHRI B. K. MAHATO - GENERAL MANAGER SHRI RAJAT KUMAR
DASH - GENERAL MANAGER SHRI SWAGAT RAY - GENERAL MANAGER SHRI A. K. SHARMA - GENERAL MANAGER

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Moderator: Ladies and gentlemen, good evening and welcome to Gujarat Mineral Development Corporation Limited Q4 & FY'25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Omkar. Thank you and over to you, sir. Omkar Jalgaonkar: Thank you, Renju. Good evening and thank you all for joining us on the Gujarat Mineral Development Corporation Limited Q4 FY'25 Earnings Conference Call. Today, we have with us the Senior Management represented by Shri Roopwant Singh IAS – Managing Director; Smt. A. K. Iyer – CFO; Shri A. K. Makadia – Sr. General Manager; Shri B. K. Mahato – General Manager; Shri Rajat Kumar Dash – General Manager; Shri Swagat Ray – General Manager; Shri A. K. Sharma – General Manager. Before we begin, I would like to say that some of the statements that will be made in today's discussion may be forward looking in nature. As you are already aware that the Q4 FY'25 results are in the public domain. So we will now open the forum for the interactive Q&A session. Over to you, Renju. Moderator: Thank you. We will now begin the question-and-answer session. First question comes from the line of Dixit Doshi from the Whitestone Financial Advisors Private Limited. Please go ahead. Dixit Doshi: Yes, thanks for the opportunity. My first questions are related to our lignite operations. So initially our thought was doing around 10 million ton for this year. We ended up doing 8 million, so if you can broadly cover the reasons for the shortfall and what kind of volume growth we are targeting? So I think we are developing six more mines with 12 MTPA capacity. So when some of the production from those mine will start? So considering that what kind of volume we are targeting for FY'26 and FY'27? Roopwant Singh: We fell short of 10 million, it was an ambitious target, on account of two factors beyond our control. Our fifth and the smallest mine, Rajpardi had a safety incident and we had to close that mine subsequent to that incident, so we have lost some volume there. Second, our major ramp up was expected from our Bhavnagar project. We have divided the project into two packages, one package was operational and the second was supposed to get operational somewhere in the middle of last year. We could not proceed on it because of delay in land acquisition for one or two villages, one fully and second partially, that has been resolved now. This year we are looking at a growth of 10% to 15% in the existing lignite business from our four existing mines. As far as the six new lignite mines are concerned, a lot of progress has been made on the larger ones,

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which are going to deliver major volumes that is Lakhpat in Kutch, Walia in Bharuch, and Damlai in Bharuch. They are undergoing various stages of statutory clearances, but again, these are large and long gestation projects. We will see a lot of progress, some expenditure there, volumes next year onwards. Dixit Doshi: Okay. Volumes from new mines will not come in FY'26, may contribute from FY'27. Roopwant Singh: Yes, please. Dixit Doshi: Second question is regarding the coal mines. So you have mentioned in your press release also that we are moving ahead in Baitarani West block. So if you can broadly update on the coal mine because I assume we were expected to start some production from Q1 FY'26 onwards. So where are we and what kind of volume we can expect in FY'26 and FY'27 in coal? Roopwant Singh: There is considerable progress here. We have three blocks in Orissa. The largest

of these is Baitarani West, which will in future become the largest mine for GMDC with capacity of 15 million tons per annum, it will be amongst the top 12 to 13 mines in the country. This mine, we should see groundbreaking this year. At this moment, we have already initiated, made payments for government land and payments for private lands are underway on the project site, so we should see groundbreaking and hopefully volume grows. Dixit Doshi: Okay, so do you expect some volume in FY'26 or here also the volumes will come in FY'27 only? Roopwant Singh: We are slightly optimistic because the stripping ratio there is a near 1.5 units whereas for the Gujarat mines the stripping ratio is higher hence even after groundbreaking the production takes slightly longer. Dixit Doshi: Okay. So let's say if not FY'26, FY'27 what kind of volume this mine can do, I mean, to start with in the first year of operation? Roopwant Singh: The plan is approximately around a million tons this year,

and then it will be ramped up fairly quickly to 3 million and then to 5 million tons very quickly, but it all depends on ground breaking. Dixit Doshi: Okay, so you are saying once, let's say even if we see some delay in ground breaking, the first year after the ground breaking we can do 1 million and then 3 million and 5 million. Roopwant Singh: It can be faster also, the ramp up will be very quick because stripping ratio and so many other things are conducive there.

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Dixit Doshi: In terms of pricing in this coal mine, so how the pricing will work, will it be an international price link or just like the Coal India sell to the industries at FSA price. At what price we will be able to sell? Roopwant Singh: Well, exact price, Dixit, I can't. (Inaudible) Dixit Doshi: Yes, I understand. I am not asking the exact price, but it will be like a link to more of a market price driven at an international level, or it will be like we are giving to some industries at a prefix prices where volatility will not be there and it will be at discount to the international price? Roopwant Singh: The right word to use is we will be mindful of international price and what is being sold by Coal India and the neighborhood. The notified price of Coal India is fairly low, we will not be selling at that price. We will have our own price point which we have an idea and we did a customer outreach and interest outreach amongst customers, so that EOI was very well received. We shall be taking a view on that expression of interest as we get close to groundbreaking. Dixit Doshi: Regarding any update on ATPS power plant, so by when it will start and our current run rate in the power division is Rs. 25 crore revenue with Rs. 11 crore loss. So how do you see next year? Roopwant Singh: ATPS, we are running behind schedule because of critical delays in certain spares which are supposed to come from abroad. Once we opened the plant, there were more surprises which ended up, where we ended up ordering more spares, so there is a delay. I would like to assure the investors that our plant runs on our lignite only and what we are not able to consume in the plant, if it is out of order, we are able to comfortably push in the market. Yes, it is one division which runs in the red, but hopefully after overhaul, we would look at a better future in this year. Dixit Doshi: Okay, fine. That is it from my side. I will join back in the queue. Moderator: Thank you. The next question comes to the line of Nalin Shah with NVS Brokerage. Please go ahead. Nalin Shah: Sir, I would like to congratulate for a steady, but I mean, the still improved growth for the Company and I would say that much better dividend payout ratio. I have some just similar questions on this thing, that multi-metal project and on the rare earth elements business which are supposed to be very substantially high value businesses for future years. So how do we see that

? Plus, I just wanted to have your word that last time we said that you know the company GMDC is prepared extremely robust growth plans and by 2030 we want to be as big as the Coal India Limited which is 20 times bigger but we want to aim that. So if you can throw some light on various this developments which are going to take place for the benefit of our investors.

Roopwant Singh: One humble submission, Coal India is 100 times the size of GMDC. We will grow and the aspiration is to be 7%-8%-10% of Coal India that again is very, very big. So one correction there.

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Hopefully if we ramp up our capacity, our capacity would be in the tune of one of the subsidiaries of Coal India. One more request, we have changed and updated the name of the multi-metal project at Ambaji to Copper Project Ambaji, kindly referring to add that which is the true value driver of the project. You should see a lot of activity in the coming two years there. A lot of statutory clearances, updations, and inquiry for plant and mine development will be seen in the coming quarters, you would see a lot of activity there. Nalin Shah: So, FY'26, will we see some contribution from there, sir? Roopwant Singh: This is a very complicated project because this is an underground mine. The underground mine is very close to a residential place and an ecologically sensitive place, so we will have to go totally underground. GMDC does not have past experience of underground mines. In fact, this is going to be the first underground mine in Western India, so there is going to be a lot of CAPEX spend and lot of technical work and the results you should see in 2 to 3 years from now. Nalin Shah: Okay. So I think maybe FY'27 or FY'28 only? Roopwant Singh: I think FY '28 would be a right figure because mine development itself would take a lot of time. Nalin Shah: Understood. Roopwant Singh: Just refer to my discussion where I compared the Odisha Coal Mines with Gujarat Lignite Mines. The stripping that will go there, we are able to break ground and start producing. The same, it takes some more time in Gujarat and when it comes to an underground metal project, it will still take more time. Nalin Shah: Understood, sir. Correct. Roopwant Singh: It would involve putting up a concentrator plant there also, a small plant has to be put up there. Nalin Shah: Correct. Okay sir, on rare earth thing can you throw some light? Roopwant Singh: We have shared detailed notification already, so steady work is continuing there. We have received an LOI. Work is going on for the next stages. Nalin Shah: Commercialization will still maybe about a couple of years hence? Roopwant Singh: Yes, it is a slightly complex project, but a few years only, not too long into the future. We shall keep you updated periodically on it. Nalin Shah: Sure, Sir. On Bauxite, we have done some 5x tons of Bauxite. But I understand that, I mean, there is a huge opportunity in Bauxite. And we read, that these Guinean mines are almost 60%-

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70% of the world Bauxite export. So I am sure that Bauxite there is a huge demand. So are we going to be able to scale it up to a significant level in this current year and onwards? Roopwant Singh: That is the plan which was there in the past year and that is the plan for the current year also. Nalin Shah: Okay. Roopwant Singh: We have two sets of mines, one in Saurashtra and one in Kutch. Earlier the only Saurashtra one used to do marginally good and the one in Kutch used to bleed us. Now all these mines are contributing revenues, and they would contribute significant amounts of revenue, Rs. 80 crore-Rs. 90 crore-Rs. 100 crore. But these are good numbers but then they pale in comparison to what Lignite generates. Nalin Shah: Correct. So, sir, overall, can we have some guidance about like last year we grew by almost about, I would say tha

t 17% to 20% in terms of topline and bottom-line was up by almost about 15%. Can we have some idea about the current year growth plans? Roopwant Singh: We have laid out the growth plans, so it all depends on the margin that we're able to sustain. I have already spoken of the plan to increase our volumes for lignite and other auxiliary minerals also and if coal comes into play the revenues will definitely go up. Margins will determine how much is left at the bottom of the table. Nalin

Shah: Correct. But some idea about this revenue growth and the PAT levels? Roopwant Singh: PAT levels, I won't comment but both of them should turn out pretty good. Nalin Shah: Yes. But revenue should be up by what about 20% or so we can take a guidance? Roopwant Singh: It all depends on Odisha majorly and Bhavnagar. Nalin Shah: Okay, I understood. Roopwant Singh: And we are very bullish on both. We are confident there. Nalin Shah: Yes. We are also, sir. Thank you very much, sir and once again congratulations for such a massive exercise to make GMDC in one of the top-grade companies. Thank you very much. Roopwant Singh: Thank you, Nalin. Moderator: Thank you. Next question comes from the line of Divyesh Shah with Uchit Capital. Please go ahead.

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Divyesh Shah: Sir, congratulations for a good result. Sir, my questions pertain to our project, Shikhar. In the last annual report, we had given a vision of FOREX in 5 years by 2030. And you have very clearly mentioned about the 3 categories. And if you sum up that 3 categories, it comes out to be Rs. 14,500 crore by 2030. And sir, with your opening remarks and the answers you gave to the previous speakers, it looks that we have some delay in this year, FY'26. So what is the status of FOREX by 2030? Is there any delay or we still stick to that ambitious target of FOREX in 2030. Or can you elaborate, if suppose FY'26, we are okay with 10% to 15% growth, let us say by FY'27, sir, what will be our target in way to project Shikhar? Please, sir. Roopwant Singh: It is so heartening to know that you go through our plans in such great detail and you look at the pillars also. It depends on the word that we use, is it a critical delay or is it a slight shift? Since we dealing with projects spread over hundreds of hectares of land and with human settlements involved, so a few quarters here or there are something which we may have to contend with, that we have to contend with, where we could not ramp up production last year as we had planned because Bhavnagar was late. Now this year we are confident. Odisha project is on track, but our Lignite projects are a few quarters delayed. While there may be a shift of a few quarters, we are quite confident of our journey. Which pillar moves ahead, and which slows down is something which we would know, say, in next 12 months to 18 months. The Company has not only has very diligent and detailed plans where the capital and revenue journey up till 2030 is planned, that entire model gets reworked every quarter. The management and the senior management is also given visibility on it. The board is updated by annually. With so much of visibility, what we hope and expect is a shift here and there, but the kind of concern that some people may have with getting derailed or getting pushed back by a number of years, that may look like an unlikely scenario at the moment. Divyesh Shah: So sir, you stick to the target of 2030 Rs. 14,500 crore or there is a reduction in the projection if you can frankly tell to the investors? Roopwant Singh: No, there is nothing to hide. It would be a few quarters here or there, but we hold on to our numbers. Divyesh Shah: Okay. Sir, today we are about Rs. 2,800 crore turnover. So when you expect, by FY'27 w will be a Rs. 5,000 crore revenue Company sir, please, if not FY'26-FY'27? Because in next 4 years if we want to achieve not Rs. 14,500 crore, suppose Rs. 12,000 crore, then by

FY'27 my math says that it should be Rs. 5,000 crore, if you go reverse way. Roopwant Singh: I would have faith in your calculation. Divyesh Shah: Okay. What will be the revenue from I think the biggest contributor to this project Shikhar will be new coal mines. So in the first two years, leave aside the one year of opening of breaking

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mines. In first two years of operation, what will be the expected revenue from coal mine? Two years, first two years? Roopwant Singh: I would compare my new Lignite projects with the Odisha coal project. The ramp up will be much, much faster there compared to Lignite projects. Our journey till 2030, we plan to reach our peak capacity there. Thereafter, the projection for revenues is very, very promising and the peak capacities that we have can also be expanded. If out of these 3 mines, even if two are on track and are able to expand, we should see very good and comfortable numbers. Divyesh Shah: For copper mine after the delay in the first year, what will be the production for copper mine revenue dumps in first full year of operation, as and when it happens? Roopwant Singh: Copper is again, almost 1.5 to 2 years will go in just thinking shafts and building an underground mine. Parallel activity would be putting a plant in place so the revenues should be accruing towards the end of the projection that they had given for 2030. It is in essence a lot of hard work and expenditure till then. We have a very clear idea on how much we are spending there. We have shared it also with you that is a lot of systematic hard work. Divyesh Shah: Sir, my last question regarding CAPEX. CAPEX for next four years, how you will finance the CAPEX? Roopwant Singh: We are fairly comfortable there. We have decent reserves in the range of Rs. 2,000 crore and we see them going up only. We have had conversations with state lending authorities and we have a line of credit from them, so we are fairly comfortable there. Divyesh Shah: Every year how much CAPEX do you expect for beginning of all new mines for next two years at least? Roopwant Singh: This journey till 2030, we have planned for a CAPEX in the range of Rs. 13,000 crore, out of which generally it should be a steady number between Rs. 1,500 crore to Rs. 2,000 crore, but it may get peaked for two years in this journey. At the moment it falls somewhere in between, but like I said, it could go back or be pushed early also. It is a steady and mature CAPEX. Divyesh Shah: Okay, sir. Thank you. Roopwant Singh: Thank you. Moderator: Thank you. Next question comes from the line of Aman with Augmenta Asset Manager LLP. Please go ahead. Aman: Congratulations on a great set of numbers and thanks for the opportunity. So sir, I just want to understand, let's take an example, currently we did some volumes of 8 million tons in the lignite

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part of the business. So can you just guide some light on the production that can be picked from both the new mines and the old mines together? Can we expect the current run rate of 8 million ton to 9 million ton from the same over the next maybe one year or what are we aiming for here? And secondly, the pricing side of the thing, currently this quarter, according to calculations, the pricing was somewhere around Rs. 3,400 per ton. And on that we are making some EBITDA of around Rs. 800 to Rs. 890 per ton. So this is the steady state of margins of the prices that you are incorporating for the future, maybe from the baseline reversal? Roopwant Singh: I will try and explain the lignite journey that GMDC has planned for itself. Till last year, we had five existing lignite mines. Now, we have four only, one has closed down. By the turn of this decade, we would have only one which is growing and probably 1 or 2 which are petering out, so production from these mines would be nearing

exhaustion and

d that is the time these five years when production from our new mines would be kicking in. In a decade from now, we plan to see, we expect to see lignite production in the range of 15 million tons by GMDC from Gujarat-based lignite, so this is the journey that is planned out for lignite. Pricing, last to last year, the margins were better, last year were good, at the moment, they're holding well despite all the global turbulence. This is a dynamic thing which we are very mindful of. All our customers and all our investors eagerly await our monthly update on price. We take a call on it, taking a multi-faceted review of factors that affect our price. And in the end, we will not do anything which is unviable for us, but we would like to continue to hold on to our volumes and customers. That is what we are committed to. Aman: The steady state render of anywhere between 8 million ton-9 million ton will be the run rate going forward as well over the next two years? Roopwant Singh: No, this will get much better. As Walia, Lakhpur and Damlai come into play, because they have long gestation, as you see production from them, then you should see this changing very fast. Aman: The number which we are stating, our growth of 10%-15% in improving lignite business, so this we are expecting from the new mines addition or from the existing one? Roopwant Singh: Only from our existing mines. Aman: Okay, the new mines will start contributing? Roopwant Singh: The new mines have a longer lead time because the stripping ratio in Gujarat is higher and the same is much lower in Odisha, so that is why we speak of groundbreaking and realization in the same year. There is a fundamental difference in the kind of resource and effort that is required. Aman: Okay. Can you just throw some light on the lignite demand? Currently, somewhere in the previous years, correct me if I am wrong, you mentioned that we control maybe 5% of the lignite market in India. We have a 5% market share of whatever this number is, don't remember. But

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what is the demand dynamic looking like? Is there enough demand for this much lignite in the country or the adjacent areas? Roopwant Singh: Our market surveys and analysis say there is demand for this fuel, and this fuel gets sold along with and as a competition to domestic and imported coal, so this continues to stay relevant. As we ramp up our production, we are going to initiate efforts towards beyond Gujarat sales also. That is an initiative that you should be unfolding in this current year. We are preparing for a ramp up capacity for our new mines next year onwards. Aman: Understood. And also sir, we have been seeing that we have been filling out tenders for the overburden removal for the Odisha mines and some strategic associations from some consultants from the topic that was beyond the Odisha mines and the new warehouses. So what are we looking for exactly? Can we expect the ground breaking this year from the Odisha mines? Roopwant Singh: Yes, that is what we said. This year, not only do we expect ground breaking, if it happens, we expect revenues and sales from our Baitarani West mines, which is going to be one of the largest coal mines in the country. Aman: Okay. Thank you so much. Moderator: Thank you. Next question comes on the line of Dixit Doshi from Whitestone Financial Advisor Private Limiter. Please go ahead. Dixit Doshi: Yes, thanks for the opportunity again. You did mention that, just one clarification. You mentioned that the coal mine this Baitarani west has a peak capacity of 15 million ton. So let's say once we start we can ramp up very fast. So by FY'30 we can reach that peak production, right? Roopwant Singh: Yes, please. We can take it beyond that also. That is permitted in the statutory framework. Once we reach that, then we take a call on taking it further also. Dixit Doshi: Okay and regarding the Burapahar mine, so by when that

will be commercialized? Roopwant Singh: We have staggered the investment between these 2 mines, and we have at the moment chosen to fast-pedal Baitarani West, the larger mine with less stripping ratio. Whereas for Burapahar, we have staggered it by a year, and in the meantime, we are exploring, please see our website. We are looking for partners for underground coal gasification. That is the journey towards blue hydrogen, which is less carbon intensive. The EOI has been received well it is currently live. We have interest from large corporate players and technology players both. Dixit Doshi: Coal production from Burapahar will be slightly back-ended. Our initial focus is on the Baitarani mine. Okay. And regarding this lignite production, just one clarification again is that from the

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old mine we will be doing let's say 10%-15% growth for the next 2 years. And the new 6 mines from there a 2-3 mines will start contributing something from FY'27 onwards? Roopwant Singh: These 6 mines are not similar, they vary in size and complexity very much. The ones which are going to be amongst the flag bearers are Lakhpur, Walia and Damlai, that is where we see most volumes. While the other ones are also there, they also bring volumes but they are not so big, they are also being prioritized but our eye is on the bigger pie. Dixit Doshi: Okay. And these three, can they contribute in FY'27 say 2-3 million tons or it will be lower in the initial year? Roopwant Singh: Probably yes. Depending on the status of clearances. Dixit Doshi: Okay. And any update on the limestone mines? By when that will also start contributing? Roopwant Singh: Limestone mine is the Lakhpur mine, so first you have soil, then you have limestone and then you have lignite. The plan is to extract limestone systematically so that it can be used by our partners. We already have three partners which we got through a national competitive bidding process and then we reach Lignite. The journey of reaching Lignite for the Lakhpur mine is almost a year long journey, from when you begin to when you reach lignite because there is mineral in between and we don't want to spoil it. We will be taking it out systematically through surface miners, stacking it or giving it to our partners. Dixit Doshi: So let's see in CAPEX side, we are targeting around say Rs. 2,000 crore-Rs. 2,500 crore broadly per year CAPEX. And now we do have Rs. 2,000 crore of reserves and also we are generating Rs. 500 crore-Rs. 600 crore profit every year. So let's say Rs. 300 crore because 50% we pay out as dividend. So let's say over the next 2-3 years, what kind of debt level we are expecting? Roopwant Singh: Current year and next year, we don't expect to take any debt. Probably towards the end of next Financial Year, we'll start taking on debt. Dixit Doshi: FY'27 end we will start taking debt. Roopwant Singh: That is the scenario or modeling for the moment says. Dixit Doshi: Okay, and CAPEX will be there Rs. 2,000 crore- Rs. 2,500 crore every year? Roopwant Singh: The total journey is Rs. 13,000 crore plus, it has to be done by 2030. It would tend to get concentrated in 2 years, but you should see a steady rate of at least Rs. 2,000 crore. 50% of our CAPEX is land, now it flows out very quickly, once everything is in place, but till it doesn't flow out, it doesn't flow. If you were doing, if you were putting up

company, we could stagger it out and plan it very gently. When things get cleared, it goes very quickly. Dixit Doshi: Okay, understood. And one last question on the coal site. So I think these mines we have acquired through e-auction. So what kind of sharing will we have to do in terms of say royalty and other charges? And you can say what kind of EBITDA margin we can do in coal business. A broad range is fine.

I know it depends on the market price at that point of time, but a broad rough working will be fine? Roopwant Singh: Pricing, I am not at liberty to comment. We have a price point and we have interested players. The share that we give to the government is in the range of 30% for one mine and 40% for the other one. As per our modeling, this works out. Dixit Doshi: Okay, fine. That's it from my side. Thank you. Moderator: Thank you. Next question comes from the line of Shreyans Gathani from SG Securities. Please go ahead. Shreyans Gathani: Hi, good evening. So my question is on the coal mines. So just trying to understand what the calorific value differential would be and what the pricing differential would be versus lignite at this point. I know you answered like we don't have like a price point that we want to disclose at this point, but just trying to understand, for like each million ton of lignite versus coal, what kind of revenue differential we should be expect? Roopwant Singh: This is slightly, although it is broadly the same product, but regimes and geography is totally different, so it is like comparing apples and oranges. Our mines are for thermal coal. They are G11, G12, which is a fairly good grade of 4,000 calories plus, and our lignite mines are in the range of 3,500 GCV which has a different index for it. The geography is different, indices are different, price points are different and neighborhood is different, so a comparison won't be fair. In Odisha, since the volumes are high and it is a crowded market, there we will be chasing volumes. Shreyans Gathani: Okay, So price should be, like realization should be in ballpark. They shouldn't be very significantly different than what we currently have for lignite? Roopwant Singh: We should look at slightly lesser margins there, but more volumes. These are huge mines, Baitarani West is 15 million tons per annum by the end of this decade and can potentially go up to 22.5 million tons. All this 8-10 million lignite may look peanuts in front of it at some point of time.

Shreyans Gathani: Got it. Understood, sir. So the next question on the Lignite pricing. So are we still pricing at a discount to like Indonesian coal or where do we stand in terms of the discount? We narrowed the gap quite significantly in the last 2-3 years, but at what point are we at currently? Roopwant Singh: We are at a discount. The discount varies from end location to end location, but we are again at a discount. If we eliminate that discount, we don't sell. Our customers are smaller MSME players, they are slightly emotional, and we are vocal to their needs. Shreyans Gathani: Got it. I understood that. Just wanted to know like what is the magnitude of discount that you have now versus like initially it was like, I believe like, 60%-70% discount in FY'21 or FY'22 if I remember, we narrowed the gap. Roopwant Singh: So 10% to 15% easily. Shreyans Gathani: Okay. The next question is on the power plant. So if you could give what is the new PPA that's signed? What is the rate at which the new PPA signed versus what the older one was? And when would that be into effect like the new PPA? Roopwant Singh: The new PPA would get into effect the moment the plant starts working. The main difference between the previous and the new PPA is that earlier PPA did not incentivize GMDC to spend money to maintain and upgrade its plant that is the main difference. Shreyans Gathani: Okay. So in terms of the pricing, we still at the same price point? Roopwant Singh: No, our power will be approximately 30 paisa more expensive, but the electricity regulator has agreed to it. Shreyans Gathani: Okay. Understood. So when you mentioned that it's on the maintenance side, is that like, we are going to be able to get those, get the maintenance from the regulators or whoever we select, like that is a part of the agreement versus initially we had to like

put it out of our own pocket? Roopwant Singh: Let me answer it in this way, Thermal business is a business of fixed returns where the returns are guaranteed based on your investment, but here the PPA was slightly harsher and because of that harsh PPA the plant could not invest in itself and it gradually degraded to a point of crisis. In that crisis we've had to make a special CAPEX. Now that CAPEX has been allowed to be pass through and that has been part of the PPA. Hence, the price will rise. Shreyans Gathani: Okay. Roopwant Singh: As an investor, if you are invested in us, I would like to reassure you that these Rs. 300 crore to Rs. 400 crore that we have spent are, we are going to get it back as a pass through from the purchaser and the regulator.

Shreyans Gathani: Okay. That is helpful. So is there a timeframe that we'll get it by or is it like going to be adjusted in the price of electricity or something like that? Roopwant Singh: It will get adjusted in the price of electricity, but that is not our call that is the purchaser's call at which we further sells it, but as a Company, we will get a pass through for this expense. We will have to approach the regulator and hope for a fair hearing by them where they allow most of the expense that has been made. Shreyans Gathani: Got it. Thank you. So just the last question, what would be the ROE should be like coming back to like, know, like NTPC and those like we see like 12% or so. So we should be coming back to those levels in terms of just numbers for the power plant. Roopwant Singh: ROE for these plants are fixed, but as a sustained business, you have to match 3 or 4 critical parameters of the regulator and the buyer, which are PLF, auxiliary heat rate. Those are rates which were awry because the plant had deteriorated with the refurbished plant, we plan to start making some money from this plant. Shreyans Gathani: Understood. So at an optimum PLF, what kind of captive consumption of lignite do we expect per year? Roopwant Singh: Around a million. Shreyans Gathani: Okay. Got it. That's it for my end. Thank you so much. Moderator: Thank you. The next question comes on the line of Abhijit Mitra with Aionios Alpha Investment Management. Please go ahead. Abhijit Mitra: Thanks for taking my question. Just conceptually to understand, we are guiding for 15 million tons by the end of this decade as far as Lignite is concerned. So how would that break up between existing mines and new mines? Roopwant Singh: 15 million tons by 2035. Abhijit Mitra: Okay. Roopwant Singh: Because these are large mines with large stripping ratios, they will

take time to ramp up. Abhijit Mitra: Okay. Roopwant Singh: Yes.
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Abhijit Mitra: And this would be entirely from new mines as the existing mines is sort of run out of production, is it? Roopwant Singh: So they would still continue to contribute 30%, but 70% would come from the newer mines. Abhijit Mitra: Okay. And what would be the gradient of rundown of volumes for the existing mines? As in over the next 2-3 years will the volume start coming off from the existing mines? Roopwant Singh: No, not till 2030. Abhijit Mitra: Understood. Roopwant Singh: There may be a minor correction here or there but not really. Abhijit Mitra: Okay, got it. And just sort of understand the profile of the CAPEX, because we were planning for Rs. 3,000 crore in FY'25, but we could end up doing only Rs. 644 crore. So this, the remaining, and we were sort of planning, I think Rs. 3,000 crore each year for FY'25, FY'26 and FY'27, as far as I can make out from the previous transcripts. So to make up for this slipped CAPEX of Rs. 2,500 crore, are we sort of intensifying or looking to intensify the CAPEX profile for FY'26 and FY'27? I mean, is the CAPEX number can be as high as say Rs. 4,500 crore each year or that

we are still sort of going with say around Rs.1,500 crore-Rs. 2,000 crore-Rs. 2,500 crore that range? Roopwant Singh: Let me explain it conceptually first and then we'll take a view on what it looks like. So 46% of this CAPEX of this Rs. 13,000 crore will go in land, 15% would go in R&R, 30% would go towards plant and machinery. Plant and machinery are something which we should see happening in 1.5 years to 2 years from now, that will be a steady outflow of CAPEX because you know the progression of civil or technical construction. Land and R&R, these are two elements which continue to surprise us and for the last year, we have been seeing these being pushed back by a few quarters because some clearance or some issue keeps on cropping up. This is something, like I said in my previous reply, if it gets resolved, it goes very, very quickly. The current disbursement which is going on at Baitarani West, when it goes, it goes very quickly. This is my view on it, but you should see it at the moment going back by a few quarters in the current year and probably the next year, but if it gets resolved, you may see it coming back by a few quarters front-ended also. That is the challenge that we see in our journey till 2030, 1 or 2 years of very heavy CAPEX where we may have to take on slightly more debt than we had planned. Abhijit Mitra: Got it, understood. That's very clear. And what would be the distribution of this CAPEX between say lignite, coal, copper as well as the rare earth? What would be the broad distribution of this CAPEX?

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Roopwant Singh: Approximately Rs. 3,000 crore to Rs. 4,000 crore for critical mineral projects, two of them. Rs. 4,000 crore for our coal projects, Rs. 3,000 crore for our lignite projects and we would still need to spend in excess of Rs. 1,000 crore for existing lignite projects also because here also land has to be acquired and it has to be sold. Abhijit Mitra: Got it. Understood. Great, thanks and wish you all the best. Roopwant Singh: Thank you, Abhijit. Moderator: Thank you. Next question comes from the line of Anurag Chheda with Jay Ram Stock Brokers. Please go ahead. Anurag Chheda: Thank you so much, for the presentation. I wanted to ask, is GMDC going to work with rare earth elements like for extraction and separation of rare earth elements? And if you are going to then which all metals are you going to work for like for extraction? Roopwant Singh: We have made our intention that we will be entering the critical mineral space, one is rare earths and the second is copper. A lot of hard work is underway. The value drivers will be rare earths which go towards making permanent magnets. Anurag Chheda: Any specific like in rare earth? Roopwant Singh: I am at liberty to say what I have already said only. Anurag Chheda: Alright, thank you so much. Roopwant Singh: Thank you. Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of the question-and-answer session. I would now like to hand the conference over to the Management for closing comments. Roopwant Singh: I would like to thank all people who have shown interest in conversing with us over this conference. Thank you so much. It was a good session. Thank you again. Moderator: Thank you. On behalf of Gujarat Mineral Development Corporation Limited that concludes this conference. Thank you for joining us. You may now disconnect your lines. This is a transcript and may contain transcription errors. The Company or the sender takes no responsibility for such errors, although an effort has been made to ensure high level of accuracy.